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Europe Luxury Goods

April Swiss watch exports -17% YoY due to outsized US tariff comp.
Underlying growth +5% ex-US, ex-Middle East (+1% in March)

CITI'S TAKE

Swiss watch exports deteriorated to -17% YoY in April (vs. -1% in March), reflecting a ~16ppt tougher comparative base driven by ~+150% exports growth to the US in April 2025 following the tariff announcement. Excluding both the **US** (-56% vs. -2% in March/~17% of 2025 exports) and the **Middle East** (-11%, improving vs. -21% in March/~10% of exports), **RoW** was +5% YoY (vs. +1% in March) and -3% 2Y (vs. +2% in March). **Greater China** improved further (+15% YoY vs. +2% in March/-2% in Jan+Feb) in both **Mainland China** (+17% vs. +4% March/-3% Jan+Feb) and **Hong Kong** (+14% vs. +1% in March/-1% Jan+Feb) reflecting easier comparatives. **Japan** remained weak (-12% vs. -13% in March) reflecting continued softness in local and tourist demand. **Europe** (-2%) softened vs. February (+7%) and remains partially inflated by parallel markets dynamics in France. We still see spillover risks from Middle East tensions to European tourist flows, and, more broadly, to US/European consumer sentiment.

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